3. Efficiency Ratio

With the efficiency ratios we will assess:

> **How well is the company being run?**
>
> **How efficiently is the company utilizing its resources or its assets?**
>
> **How efficiently is the business running with respect to its working capital and account receivables?**

.1 Total Assets Turnover

This ratio measures how effectively a company uses its total assets to generate revenue. In other words, how much revenue can the company generate on a given size of the assets?

Asset required
Rs. 100 Cr.

Asset

If a company needs assets worth Rs.100 crores to generate a revenue of Rs.1000 crores.

Revenue Generated
Rs. 1000 Cr.

₹

Then it is an
Asset-light Company

Asset required
Rs. 300 Cr.

Asset

If a company needs assets worth Rs. 300 crores to generate sales of Rs. 1000 crores.

Revenue Generated
Rs. 1000 Cr.

₹

Then it is an
Asset-heavy Company

However, A company's total assets do not necessarily indicate whether it is a good or a bad company.

Formula: **Revenue / Total Assets**